Swap

How swap fees work

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How custom fees and provider fees apply when swapping tokens with App Kit

This guide explains which fees apply when performing a swap, how funds move through a swap transaction, and best practices for **implementing custom swap fees**.

Fees breakdown

Every swap can incur the following fees:

- **Your custom fee**: The extra amount you charge on top of the swap transaction. Arc keeps 10% of this amount. The remaining 90% goes to the fee recipient you configure on the source blockchain.
- **Provider fee**: A fee charged by the underlying swap service provider for executing the swap. This fee is **2 basis points** (0.02%) of the swap amount.

The total amount your end user pays for a swap includes the swap amount plus all fees above.

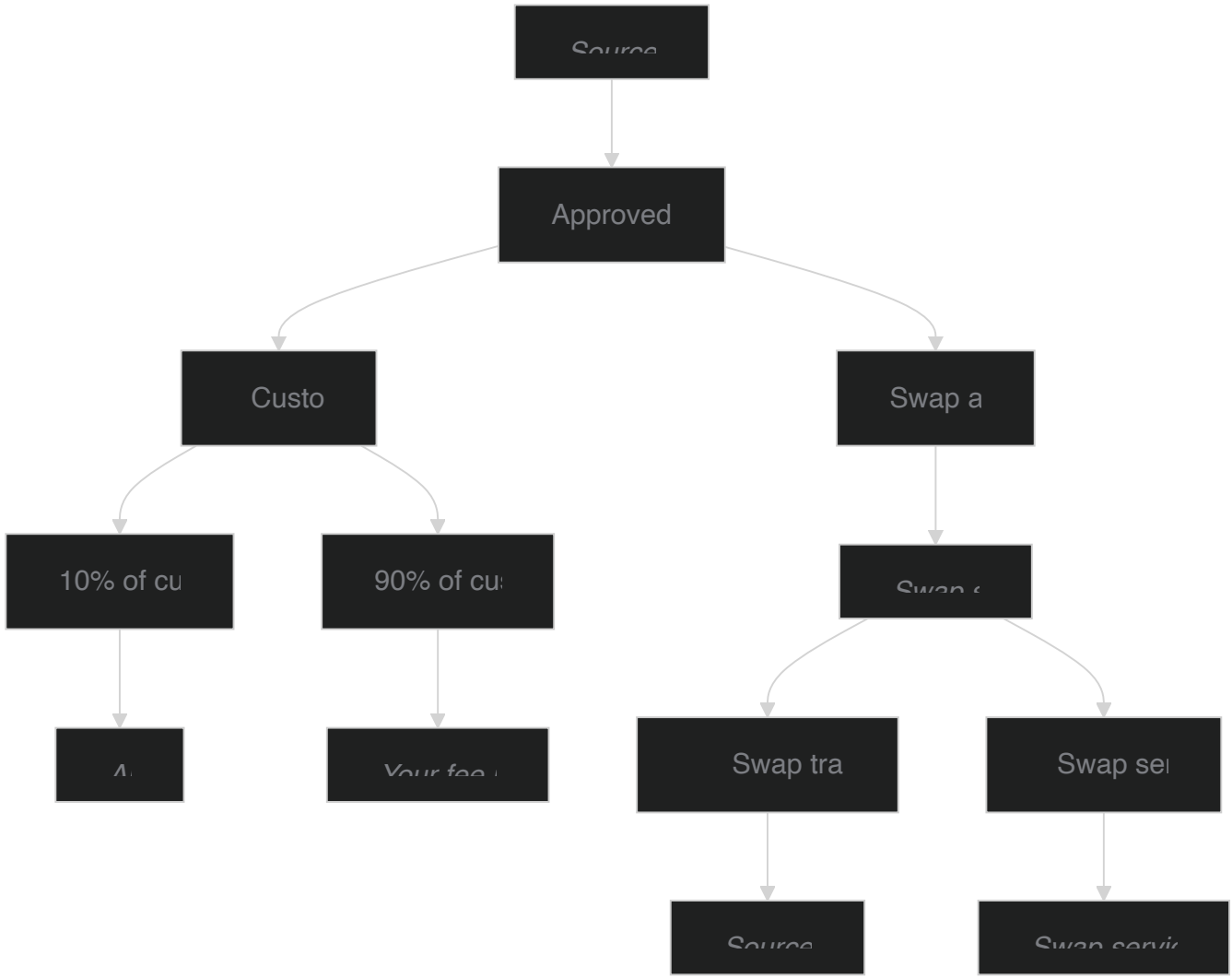
Funds flow

The following example shows what happens when a user initiates a swap with a **1% custom fee** (1,000 USDC to USDT):

1. The user initiates a swap for 1,000 USDC to USDT.
2. Your custom fee of 10 USDC (1%) is configured.
3. The source wallet signs a transaction for **1,000 USDC**.
4. The **10 USDC custom fee is collected and split**:
    - Arc receives **1 USDC** (10% of the custom fee).
    - Your configured fee recipient receives **9 USDC** (90% of the custom fee).

5. The **swap service provider charges a 2 bps provider fee** (0.02%) of the remaining amount. For 990 USDC, this is **0.198 USDC**.
6. The swap executes with a remaining input amount of 989.802 USDC and the user receives the net output amount in USDT.

This flow is illustrated in the following diagram:



Best practices for custom fees

Follow these best practices when implementing custom fees for swaps:

- Use a fee recipient address in the same network context where the swap originates.
- Return fee amounts in human-readable decimal format (for example, `0.20` instead of `200000` for 0.20 USDC). App Kit handles base-unit conversion internally.

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